MARKETING PLAN

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LEARNING OUTCOMES

- Understand the importance of preparing a marketing plan
- Describe the steps in preparing a marketing plan
- Prepare a marketing plan

INTRODUCTION

A well prepared marketing plan helps entrepreneurs to:

- evaluate market acceptance.
- develop strategies to market products or services of the business.
- identify required resources to execute the marketing strategy.
- estimate marketing financial requirement.

Steps in Marketing Plan

1. Determining product or service
2. Identifying target market
3. Analyzing market size and market share
4. Assessing competition
5. Developing marketing strategy
6. Preparing marketing budget

1. Determining product or service

- Based on needs & wants of customers
- Marketability of a product or service

Guide in describing product or services

- *State clearly the value and benefits of product or service to customers.*
- *Capitalize on the uniqueness or strengths of the product or services such as on its formulation, ingredients used, safety, ease of use, life span, flexibility, assortment, location, operation hours, personalization, extended warranty etc.*

2. Identifying target market

- Who is the consumer of the product or service?
- What is their common needs or wants that would be satisfied by the product or service?
- What is their common characteristics?

Common Bases For Segmentation

Broad Factors	*Example of Factors*	*Example of Segmentations*
Demographic	*a. Gender: male , female* *b. Age: teenager, youth, adult, elderly* *c. Education level: high school, tertiary education* *d. Income: Low, middle, high*	*A retail outlet selling toys for big boys with tick pocket.*
Psychographic	*Lifestyle* *b. Preferences/ taste* *c. Beliefs*	*An organic food restaurant targeting the health conscious group of customers.*
Geographic	*a. By region* *b. By states/district* *c. By parliamentary* *d. Rural versus urban* *e. By population density*	*A hypermarket whose target customers are residents who live within 5km radius from the outlet*
Buying behaviour	*a. Units of purchase* *b. Methods of payment* *c. Location of purchase* *d. Frequency of purchase* *e. Methods of delivery*	*A cosmetic and toiletries producer targeting to sell to companies who intend to promote their own labels.*

3. Market Size & Market Share

Market Size:

- Total potential purchase of target market
- Translated into monetary value (RM)
- Growing, remain the same or shrinking

Market Share:

- A comparative measure to assess performance against the competition
- Translated into percentage (%)
- Before and after existence

4. Assessing Competition

Identify Competitors:

- Who are the competitors
- Assess their market positions and strategies (product quality, pricing, distribution and promotion)
- Look at their strengths and weaknesses
- Put in table form

5. Marketing Strategy

- To enable business to plan for its limited resources in order to achieve stated marketing objectives
- The key idea is to deliver customer satisfaction yet provide business with a competitive advantage
- 4 main strategies (4Ps):
  - Product , Pricing, Place & Promotion

a. Product Strategy

- Product is a physical item that can be seen, owned, used or consumed
- Ideas and creations of the minds can also be regarded as product
- Service is intangible and cannot be seen or owned, but is useful, can be experienced and able to satisfy customer needs and wants
- Product strategy refers to a product, service or a combination of both

Product Dimension

- Product attributes
  - Quality
  - Design
- Trade name
- Brand name
- Packaging
- Labeling
- Warranty
- After sales service

Service Dimensions

- Service quality
  - consistency
- Service package
  - Combination of services at competitive price
- Service differentiation
  - Offering that is unique and can be differentiated from the competitors
- After sales services
  - Follow-up

b. Pricing Strategy

- Price is the value exchanged between the seller and the buyer in order for the buyer to possess, use or experience the product or service offered.
- Most often, price is in the form of monetary value paid by the buyer to obtain the product or service

Common Pricing Methods:

- Based on Cost (Fixed Cost + Variable Cost + Desired Margin)
- Based on Perceived Value
- Based on Competition

Factors Consider When Setting Price

- Marketing objectives
- Demand and supply
- Competitor's pricing

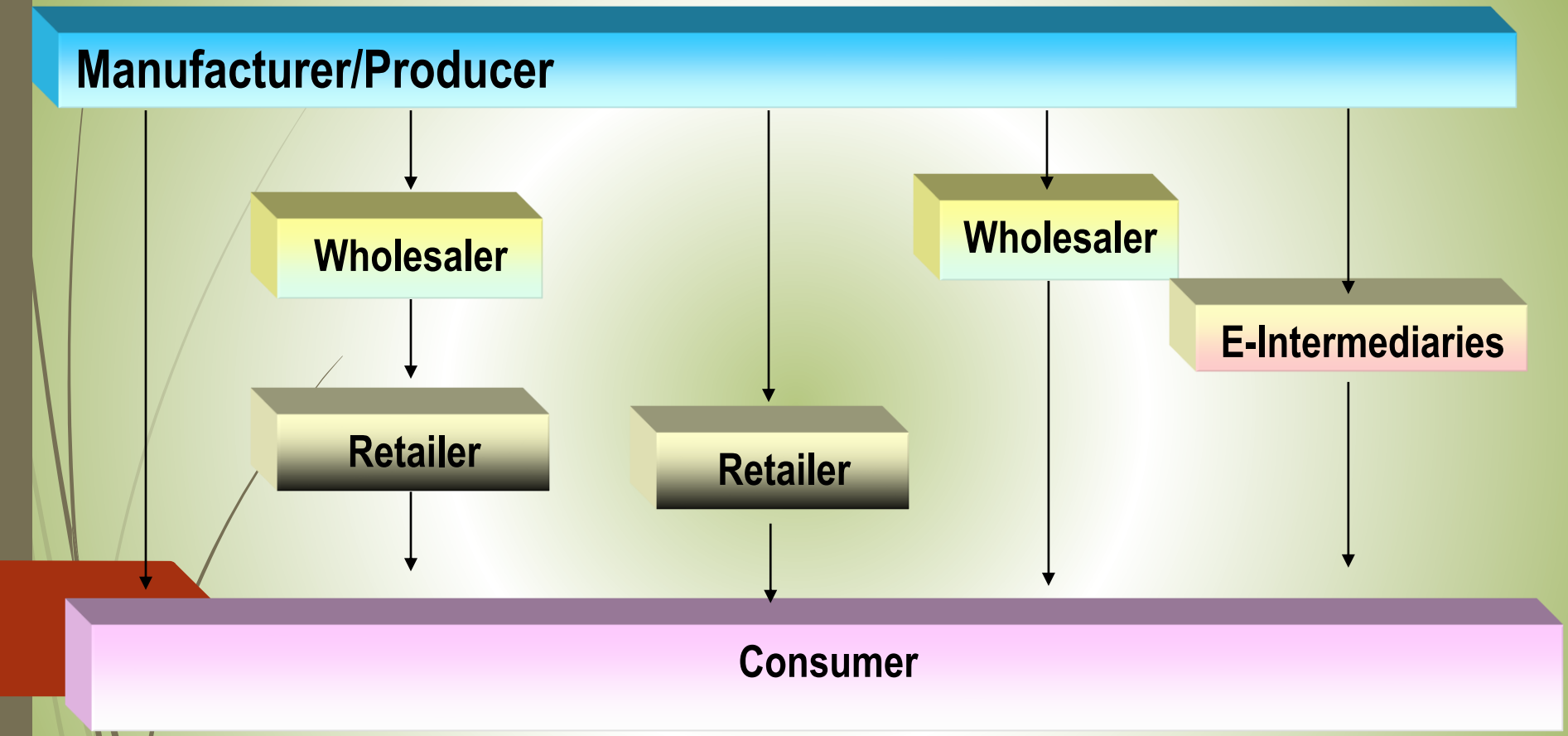
Pricing Tactics

- Discounting
- Purchase with purchase
- Psychological pricing
- Product bundle pricing

c. Place Strategy

- Place strategy refers to the decision made on the location of the business
- Choice of location is crucial for most brick and mortar businesses
- Channel of distribution is a network developed to ensure product or services reach target consumers
- Distribution strategy for consumer product and industrial product may vary

Distribution Strategy



Factors Consider Determining Distribution Strategy

- Type of product
- Target market
- Market coverage
- Transportation ease
- Product standardization

d. Promotion Strategy

- Promotion is any coordinated effort taken to supplement the product, price and place strategies in order to achieve marketing objectives.
- Strategies:
  - Advertising
  - Sales promotion
  - Personal Selling
  - Publicity

Outdoor

- Billboards
- Banners
- Transportation

Printed

- Newspaper
- Magazines
- Yellow pages
- Brochures
- Business cards

Electronic and Digital

- Television
- Radio
- Internet
- Sort messaging system

Advertising is a paid, non personal sales effort through a medium to influence a large number of consumers.

- **Sales promotion** is promotional activities or incentives carried out or offered within a set time frame to influence purchase
- Common sales promotion strategies:
  - Rebates
  - Coupons
  - Purchase-with-purchase
  - Samples
  - Premiums
  - Contest
  - Rebates
  - Point-of-purchase promotion
  - Sweepstakes

Personal Selling

- Sales presentation conducted by a trained sales person to influence potential customers.
- It is most often used for products that require demonstration or explanation

Publicity

- Efforts taken to develop and maintain good relationship with the public to ensure good favorable public image of the business.

6. Marketing Budget

- Refers to expenses incurred in planning for the marketing aspect of the proposed business or project.
- It consists of 3 components.
  1. Fixed assets
  2. Working capital for marketing activities
  3. Other marketing expenses

Marketing Budget

Items	Fixed Asset (RM)	Working Capital (RM)	Other Expenses (RM)
Fixed Asset			
Signboard	4,000		
Working Capital			
Salary/EPF/SOCSO			
-Sales Consultant		1,500	
- Promotion		500	
Others			
Grand Opening			5,000
Total (RM)	**4,000**	**2,000**	**5,000**